The 4 Levels of Balling

Channel: Brandon Carter · Published: Nov 04, 2026 · Watch: https://www.youtube.com/shorts/2lxmzIEzGNA Source: full transcript

📋 Executive Summary

Brandon Carter defines four distinct wealth levels based on the relationship between income and expenses — not raw income targets — culminating in passive income that exceeds what you could ever earn through labor.

📑 Contents

- 💸 Level 1: Broke
- 😌 Level 2: Comfortable
- 🏦 Level 3: Truly Wealthy
- 👑 Level 4: Filthy Rich
- 📌 Key Clarification

💸 Level 1: Broke 0:00

- Barely earning enough to cover monthly expenses
  - Living paycheck to paycheck with little or no surplus
- Has a very poor credit score
  - Indicating a history of financial mismanagement or inability to meet obligations

😌 Level 2: Comfortable 0:05

- You earn **2x what you spend** each month
  - This is the minimum threshold to qualify as "comfortable" — earning less than double your expenses means you haven't reached this level
- Must have savings that cover **6 months of expenses**
  - Acts as a financial buffer against emergencies or income loss

🏦 Level 3: Truly Wealthy 0:15

- Your **asset income covers your expenses**
  - You generate enough passive income from assets (investments, real estate, businesses, etc.) to pay for your lifestyle
- You could stop working entirely and live off passive income

- Financial independence in the classic sense — work becomes optional

👑 Level 4: Filthy Rich 0:24

- Your **passive income exceeds the maximum income you could ever earn through labor**
  - Even working 7 days a week, 12 hours a day at full capacity, you still couldn't out-earn your passive income
- The gap is so large that active effort becomes financially irrelevant
  - Passive income is simply too large to beat with time and effort alone

📌 Key Clarification 0:48

- These levels are defined by **income relative to expenses**, not by absolute income numbers
  - There is no fixed dollar amount that places you in any level — it depends entirely on your personal spending

> The framework is about the *ratio* of income to expenses, not a universal income target.